2. **Chances of Undisclosed Errors and Frauds:** An Auditor has to depend on many financial data and statements supplied by the management which may be wrong or misleading. Therefore, there may be some undisclosed errors and frauds in the books of accounts.
3. **Lack of Proper Care and Skill:** Often it is seen that an Auditor does not apply proper care and skill to verify the books of accounts and take it as a routine matter. As a result, the books of accounts do not reflect true and fair view of the financial position of the business.
4. **No Evaluation of Managerial Efficiency:** An Auditor is not an advisor, therefore, he cannot give his opinion regarding managerial efficiency because every concern has its own policy, procedures and practices.
5. **Not Preventive:** Audit is a post-mortem examination. The work of audit starts after the completion of transactions recorded in the books of accounts. Therefore, audited accounts can prevent the future activities but not the past.

1.12 Investigation

MEANING

Investigation is a detailed examination of accounts and enquiry into the state of affairs of the business or for a specific purpose. It involves the process of analysing, collecting and presenting facts in a manner which enables the parties to know the essential facts regarding the matter under enquiry. Investigation covers more than one financial period and the programme depends on each type of investigation.

Example: Investigation is conducted in deduction of suspected fraud and theft, to identify causes for continuous loss and low productivity and to evaluate the credit worthiness of business.

DEFINITION

- According to **Spicer and Pegler,** "The term investigation implies an examination of records for some special purpose".
- **Taylor and Perry**, "Investigation involves and enquriy into the fact beyond the books of accounts into the technical, financial and economic position of the organisation".

OBJECTIVES

The following are the objectives of Investigation:

1. To ascertain the financial position and the earning capacity of the concern.
2. To investigate when fraud is suspected by the proprietor.
3. To investigate on behalf of Income Tax authorities for tax liability.
4. To investigate for the purpose of lending money to a concern.
5. To investigate for claims under insurance policy covering losses.

STUDENTS ACTIVITY

Collect any one company's accounts investigation report.

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